

Year	Purchase Price (euros per unit)
Year 3	84.00
Year 4	90.00

The average price is *best* represented as the:

- A. harmonic mean of EUR76.48.
 - B. geometric mean of EUR77.26.
 - C. arithmetic average of EUR78.00.
5. Which of the following statements regarding arithmetic and geometric means is correct?
- A. The geometric mean will exceed the arithmetic mean for a series with non-zero variance.
 - B. The geometric mean measures an investment's compound rate of growth over multiple periods.
 - C. The arithmetic mean measures an investment's terminal value over multiple periods.
6. A fund receives investments at the beginning of each year and generates returns for three years as follows:

Exhibit 1: Investments and Returns for Three Years

Year of Investment	Assets under Management at the Beginning of each year	Return during Year of Investment
1	USD1,000	15%
2	USD4,000	14%
3	USD45,000	-4%

Which return measure over the three-year period is negative?

- A. Geometric mean return
 - B. Time-weighted rate of return
 - C. Money-weighted rate of return
7. At the beginning of Year 1, a fund has USD10 million under management; it earns a return of 14 percent for the year. The fund attracts another net USD100 million at the start of Year 2 and earns a return of 8 percent for that year. The money-weighted rate of return of the fund is *most likely* to be:
- A. less than the time-weighted rate of return.
 - B. the same as the time-weighted rate of return.
 - C. greater than the time-weighted rate of return.
8. An investor is evaluating the returns of three recently formed ETFs. Selected